

must be aligned with emerging technologies, AI, robotics and latest industrial production processes,” he says.

Iyer believes India can be leveraged for manufacturing of both products and services. “We have all the right ingredients to transform into a world-class manufacturing hub,” he says. Mercedes-Benz has made luxury cars in India since 1995 and today offers 11 models.

That’s really where the Indian model of manufacturing comes into play. Iyer says Mercedes-Benz focuses on flexibility of production, with internal combustion engine and electric vehicles being made under one roof. “Our local production ensures a faster response to dynamic market demand with a strong focus on shop-floor digitisation, people, diversity and developing a talent base for the future.”

The large multinationals have the advantage of learnings from other markets. The management of Siemens, which has been in India for nearly 160 years, thinks it is “deeply integrated into the country’s growth story.” According to Sunil Mathur, Siemens India MD & CEO, a key differentiator is the ability to bring together electrification, automation and digitalisation on one integrated platform.

STRENGTHS, WEAKNESSES

“This allows us to address customer problems end-to-end—from energy efficiency and smart grids to factory automation, industrial AI, digital twins, mobility and smart infrastructure,” says Mathur.

As India moves into different segments of manufacturing, identifying that niche seems increasingly like a good idea. Subhabrata Sengupta, Partner at Avalon Consulting, says India does well in components that have significant

engineering content. “That includes process innovation in areas like chemicals, forging and machining,” he says. Of course, there are other challenges as well. He picks out wage disparity between permanent and temporary workers. “If not for temporary workers, much of India’s manufacturing competitiveness would disappear.”

However hard our manufacturing sector works, that helping hand from the government makes a difference. Plus, if one speaks of Micro, Small and Medium enterprises (MSMEs), the heartbeat of industry, it becomes even more important.

Anil.V.Parab, Whole-Time Director and Senior Executive Vice President (Manufacturing) at Larsen & Toubro, says government initiatives such as Make in India, PM Gati Shakti, Digital India and Skill India, industrial corridors and free-trade agreements have laid a strong foundation for manufacturing growth.

The next steps, according to him, should be AI-enabled single-

window clearances, plug-and-play industrial ecosystems to overcome land-related challenges, and globally competitive logistics and energy costs. MSMEs are at a critical juncture and Parab points to the need to offer them targeted support to gain global market access, adopt digital technologies and undertake sustainability and skilling programmes.

With all that comes niggling execution issues and problems that are, unfortunately, unique to India. Sengupta points to infrastructure and policy bottlenecks like high logistics costs and the need to build power backup systems that entail capital expenditure. “In some cases, inverted duties prevail and at the local level, policy decisions can be ad hoc,” he says.

THE COST GAME

To many in the industry, manufacturing really comes down to how to how little money can be spent. Perhaps at some limited level, it makes sense. Truth be told, India

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HIGHEST NET PROFIT GROWTH

